CASCADIA ANALYTICS

INVESTMENT SCORECARD

TSM

Taiwan Semiconductor Manufacturing Co. (NYSE (ADR))

As-of: 17-Oct-2026 | Latest Filing: Q3 2026 (6-K) | Currency: NT$

$412.61 [Mkt 16-Oct-26]

Market Cap: $2,140.0B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 95

The world's leading foundry with no close second at the leading edge. 66% gross margins, 51% net margins, NT$2.77T cash, 0.19x debt/equity. Pricing power is structural.

2. Recent Trend — 95

Sixth straight record quarter. Profit +68.7% YoY, revenue +50.9%. Q4 guide raised well above consensus. Demand exceeds supply per CEO.

3. Forward Growth — 85

2nm ramping fast, Q4 guide implies +58% YoY, 2026-2028 capex stepped up materially. AI accelerator demand is the multi-year driver.

4. Valuation — 40

At $412.61 vs $243.06 DCF base, the ADR is 70% above fair value. PEG 0.8 is attractive on growth, but absolute price embeds flawless execution.

5. Catalysts & Risk — 70

Q4 earnings and 2nm yield progress are positives. Taiwan geopolitical risk is the permanent overhang. Rates-driven semis selloffs hit the stock regardless of fundamentals.

Investment Thesis

- **AI Foundry Monopoly:** TSMC manufactures the silicon inside Nvidia's AI accelerators. HPC is now 68% of revenue. Advanced nodes (7nm and below) are 79% of wafer revenue, with 2nm ramping from 3% to 8% in one quarter [8-K Q3 2026].

- **Demand Exceeds Supply:** CEO C.C. Wei: AI demand still exceeds TSMC's supply capability. Q4 guided to $52.3-54.3B vs $48.8B consensus. Sixth consecutive record profit quarter [8-K Q3 2026].
- **Stretched vs DCF:** At $412.61 [Mkt 16-Oct-26], the ADR trades 70% above our $243.06 DCF base. The business is the best in semis; the price leaves no margin for geopolitical or cyclical error. All figures in NT$ unless noted.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q3 2026)	NT$1,494.2B [8-K Q3 2026]	+50.9% [8-K Q3 2026]	Up
Net Income (Q3 2026)	NT$763.1B [8-K Q3 2026]	+68.7% [8-K Q3 2026]	Up
Gross Margin (Q3 2026)	66.4% [8-K Q3 2026]	+6.9 pts [8-K Q3 2026]	Down
Net Margin (Q3 2026)	51.1% [8-K Q3 2026]	+5.8 pts [8-K Q3 2026]	Up
HPC Revenue Mix	68% [8-K Q3 2026]	+11 pts [8-K Q3 2026]	Up
2nm Wafer Mix	8% [8-K Q3 2026]	from 3% in Q2 [8-K Q3 2026]	Up
Revenue (FY25)	NT$3,809B [20-F FY25]	+31.6% [20-F FY25]	Up

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue (NT$B)	NT$1,587 [20-F FY21]	NT$2,264 [20-F FY22]	NT$2,162 [20-F FY23]	NT$2,894 [20-F FY24]	NT$3,809 [20-F FY25]
Gross Margin	51.6% [20-F FY21]	59.6% [20-F FY22]	54.4% [20-F FY23]	56.1% [20-F FY24]	59.8% [20-F FY25]
Net Margin	37.9% [20-F FY21]	44.9% [20-F FY22]	39.0% [20-F FY23]	40.0% [20-F FY24]	44.6% [20-F FY25]

Valuation

Absolute (4/10)

NTM P/E 17.6x [Mkt 16-Oct-26]
DCF Base $243.06 vs $412.61 spot [Mkt 16-Oct-26]
PEG 0.8 [Mkt 16-Oct-26]

PEG is attractive, but DCF implies 41% downside. The multiple is fair; the absolute price is not.

Versus Peers (7/8)

Foundry peers trade at lower multiples but lack leading-edge share [Peers 16-Oct-26]

Premium to peers is justified by technology leadership.

Versus History (4/7)

Trading near all-time highs [Mkt 16-Oct-26]

Above historical multiple range on AI enthusiasm.

Catalyst Timeline

Jan 2027 [Cons]
Q4 2026 Earnings: $52.3-54.3B guide (vs $48.8B Street). 2nm ramp is the watch item.

2027 [8-K guid]
2nm volume ramp and Arizona fab expansion progress.

2026-2028 [8-K guid]
CapEx guided significantly above prior 3-year period to meet AI demand.

Top Risk Factors (Item 1A)

1. Geopolitical Risk: Concentration of leading-edge fabs in Taiwan; any cross-strait escalation is existential for the equity. [20-F FY25]

2. Node Transition: 2nm ramp diluted Q3 gross margin by 1.3 pts; yield issues at new nodes are the recurring execution risk. [8-K Q3 2026]

3. Customer Concentration: Customer concentration (Apple, Nvidia) means any share shift or demand pause is material. [20-F FY25]

What Would Change Our Score

A 2nm yield problem or Taiwan escalation would cut all pillars. Sustained 40%+ growth into 2027 with margin recovery could support current levels.

Forward Growth Drivers

- AI demand exceeds supply; HPC now 68% of revenue (from 57%) [8-K Q3 2026]
- 2nm ramp: 8% of wafer revenue (from 3% in Q2); advanced nodes 79% [8-K Q3 2026]
- Q4 guide $52.3-54.3B vs $48.8B consensus; full-year growth ~44% in USD [8-K Q3 2026]

Missing / Modified Data Log

- ADR-level segment detail sourced from company earnings release; 20-F is the annual source.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.